



HINDUSTAN COPPER LIMITED
(A Govt. of India Enterprise)

Expression of Interest (Eoi) for

Selection of
Joint Venture Partner for Manufacturing of
Value Added Products from
Copper Cathode/Continuous Cast Copper Wire Rod

Reference No: HCL/BD/EOI/2013

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**Expression Of Interest For Selection of Joint Venture Partner for
Manufacturing of Value Added Products From Copper Cathode & Continuous
Cast Wire rod**

1.1 Introduction:

Hindustan Copper Limited (HCL), a Mini Ratna Public Sector Enterprise under the administrative control of the Ministry of Mines, was incorporated on 9th November 1967. It has the distinction of being the nation's only vertically integrated copper producing company as it manufactures copper right from the stage of mining to beneficiation, smelting, refining and casting of refined copper metal into downstream saleable products. HCL has the distinction of owning all copper mining leases in the country.

The company has its corporate and registered office in Kolkata. HCL has four operating units viz. Khetri Copper Complex (Rajasthan), Malanjkhand Copper Project (Madhya Pradesh), Indian Copper Complex, Ghatsila (Jharkhand) and Taloja Copper Project (Maharashtra). While Khetri and Ghatsila are fully integrated units (mining, ore beneficiation, smelting and refining), Malanjkhand has mining and ore beneficiation and Taloja has wire rod manufacturing facility only. The marketing/sales setup is headquartered at Kolkata with four regional sales offices in Delhi, Mumbai, Kolkata & Bangalore and sales godowns spread across the country. The company has posted a net profit after tax of Rs. 355.64 crore during 2012-13

The company manufactures and markets copper cathodes, copper continuous cast copper wire rod and by-products such as anode slime (containing gold, silver & selenium), copper sulphate, slime and sulphuric acid.

Further details about the company and its operations can be obtained from its website www.hindustancopper.com.

1.2 Objective of EoI

Presently, Continuous Cast Rod is the only downstream product of HCL. However, the value addition therefrom is marginal. Therefore, there is a perceived need for looking at other downstream options for the Company.

HCL could form a Joint Venture (JV) with a technology partner having production capabilities and marketing expertise of these products. It would be to the advantage of the JV if this partner is an approved Vendor of Indian Railways.

1.3 Scope of JV Partner:

Production and marketing of copper based value added products that consume copper cathodes/CC rods as raw material supplied by HCL.

1.4 Current Business Scenario Downstream Market:

The XII 5 year plan (2012-2017) stressed the importance of infrastructure development especially in the power sector which will trigger rapid country wide electrification both in rural and urban areas driving demand for copper sheets/foils/ enameled copper strips/fiber glass coated strips/flats/profiles/tubes/pipes in a big way. Massive electrification projects of railway tracks are underway at present (total railway track: 64015 kms, railway tracks electrified till March 2013: 23541 kms). Further, replacement requirement for the existing overhead wires (trolley wires) is also going to be a big driver in demand for hard drawn grooved copper contact wire where the profit margins are substantially higher than that during conversion of conventional cathodes to CC rods. Besides, the Urban Development Ministry is also seriously considering adoption of metro rails in 12 tier-II cities having more than 20 lakhs population. Along with trolley wires for Indian Railways, demand for high value added products like copper foils (being used in cable rope/heat exchangers/radiators/solar panels), copper tubes (being used in induction furnace/cable lugs/refrigeration and air conditioning), enameled copper conductors (being used in transformers), copper bars (being used for control panels and switch gears) copper sheets (being used in electrical earthing/switch gear parts), fiber glass covered copper conductors (being used in winding of traction motors, etc) are also rapidly increasing. Presently, copper foils for cable wrap (below 40 microns) are being totally imported. Copper sheets exceeding 450 mm width are also being imported in substantial quantities.

2.0 Instruction to the Respondents

2.1 Selection Criteria:

The intending Respondents shall fulfill the following criteria:

- i. EoI should be submitted by Corporate Bodies only registered under Companies Act 1956. No consortium bidding will be allowed.
- ii. Should have in-house manufacturing facility to produce 10,000 MT per annum of downstream products of copper and an established producer of any two of the following products:
 - a. Hard drawn grooved copper (HDGC) contact wire for Indian Railways;
 - b. Profiles, Plates
 - c. Sheets & Bus bars and other related products.

- iii. Should have had a turnover of not less than Rs 200 crores in each of the last three Financial Years.
- iv. Should have positive net worth as on 31.3.2013.
- v. Should have adequate provisions/infrastructure for expansion in future

2.2 Proposal for formation of Joint Venture Company

Interested party is required to submit a concept paper for developing the Joint Venture Company. The manufacturing of value added products envisaged under joint Venture along with the marketing strategy maybe indicated by the interested party.

3.0 General:

3.1 Submission of the Proposal:

The interested respondents are required to submit their EOI by 15:00 Hrs on 23/01/2014 to the following address:

To
Shri D.K.Mahajan
General Manager (Commercial)
Tamra Bhavan,
1,Ashutosh Chowdhury Avenue,
Kolkata - 700 019

The Interested party may submit their Eoi duly signed by the authorized signatory. The Bid must be in English and each copy shall be bound in a separate volume.

Submission of the aforesaid documents by fax, e-mail or other electronic means will not be acceptable. It is the responsibility of the interested party to ensure that its EOI is delivered at the above address by the stated time and date. The covering envelope containing aforesaid documents submitted should be clearly marked:

“Expression of Interest For Selection of Joint Venture Partner for Manufacturing of Value Added Products From Copper Cathode & Continuous Cast Wire rod”

3.2 Further information/ clarifications:

Any request for further information or clarification relating to the contents of this Eoi document, may be submitted in writing to:

Shri D.K.Mahajan,
General Manager (Commercial)
email dkmahajan@hindustancopper.com
Tel: +91 33 22832226

or

Shri Vivek Gupta, Sr.Manager,
email - vivek_g@hindustancopper.com/hindcopper@hotmail.com
Tel : +91 33 22832296

HCL reserves the right not to respond, to questions raised or provide clarifications sought, in its sole discretion, if it considers that it would be inappropriate to do so. Nothing in this section shall be taken or read as compelling on the part of HCL requiring to respond to any question or to provide any clarification. No extension of any time and date referred to in this PIM shall be granted on the basis or grounds that HCL have not responded to any question/provided any clarification.

3.3 Requests for clarification:

If at any time during the evaluation process, HCL requires any clarification on the Eol submitted by the interested party in order to carry out the evaluation, it reserves the right to request such information from any or all of the interested party(ies) and such party will be obliged to respond to any reasonable request for such information and to supply the same within such reasonable timeframe as may be required.

3.4 Eol Process

Following completion of the initial process, all short listed parties, before submission of bids will be provided with an opportunity to hold further discussions with the senior management of HCL. They will also be furnished with further information, if required. However, information will be provided at the sole discretion of HCL. All short listed parties before submission of bids will be provided with an opportunity to:

- (i) conduct a technical and financial due diligence
- (ii) hold further discussions with the senior management of HCL and
- (iii) undertake plant visits.

The terms relating to submission of bids will be set out in the RFP and other document(s) to be prepared for the purpose.

3.5 Modification/Cancellation

- i. HCL will be at liberty to amend/modify/delete any of the above conditions and/ or the process as may be deemed necessary in the light of the facts and circumstances of the case.

- ii. HCL reserves the sole right to refuse any or all EOIs without assigning any reasons thereof.
- iii. HCL reserves the right to proceed with/ cancel the process irrespective of the response to its invitation.
- iv. HCL at its discretion may extend the last date for submission of EOI.
- v. Interested parties are advised to keep themselves informed of any such modification/ cancellation that may be notified. HCL shall not be notifying any such modification separately through any other media.
- vi. Decision of HCL in respect of the above would be final and binding on the parties.

3.6 Governing Laws/Jurisdiction/Arbitration

All matters relating to the EOI and selection of Interested Party and the bidding procedure shall be governed by the laws of Union of India. Only courts at Kolkata (with exclusion of all other courts) shall have the jurisdiction to decide or adjudicate on any matter, which may arise out of or in connection with the selection of an Interested Party.

3.7 General Terms & Conditions

- i. Though adequate care has been taken while issuing this EOI document, HCL shall not be responsible for any consequences due to misprinting or any wrong translation by the newspaper/magazine/web portal concerned.
- ii. The respondent should satisfy himself that document is complete in all respects. The Respondent should contact the competent authority and verify facts in case of confusion, before submission of EOI.
- iii. This EOI does not create a tender process. By this EOI, HCL reserves to itself the right to consider and analyze the EOIs, short-list select respondents, issue the tender document for detailed proposals, and sign an agreement with the preferred company.
- iv. Without limiting the generality of the foregoing, HCL reserves the right to:
 - a. Reject any EOI, whether or not complete and whether or not it contains all the required information;
 - b. Require clarification of any EOI; request additional information on any EOI;
 - c. Reject any or all EOIs without any obligation, or any compensation or reimbursement to the respondents;

- d. Modify the terms and conditions of the Eol and subsequent processes;
- v. HCL may, in its sole and absolute discretion, independently verify any information in any submission.
- vi. Mode of Eol evaluation shall be final and binding to all respondents. HCL shall not entertain any correspondence in this regard.
- vii. Opening of Eol: - The Respondent may remain present personally or may depute an authorized representative at the time of opening of Eol documents.
- viii. The parties who have applied for Expression of Interest will only be considered for participation in main tender.
- ix. Mere participation & qualification in Eol will not automatically mean that such respondents are considered qualified.

Form 1

Submission of Bid

(To be forwarded on the letter head of the interested party submitting the Eoi)

Ref :

Date

To
Shri D. K. Mahajan
General Manager (Commercial)
Hindustan Copper Limited
1 Ashutosh Chowdhury Avenue
Kolkata - 700 019
INDIA

Sub: Expression of Interest for identification of an Interested Party for entering into a Joint Venture with HCL for value added products.

Please refer to the invitation for Expression of Interest issued in respect of the above mentioned subject matter. We have read and understood the contents of the invitation for EOI. We are desirous of selection as Joint Venture partner for manufacturing of value added products from copper cathode & continuous cast wire rod and propose to submit this EOI.

We believe that our Company satisfies the eligibility criteria set out in the relevant sections of the EOI. The information template and litigation impact statement of legal capacity as per the format indicated in the EOI duly signed by us are enclosed.

You and your authorized representatives may contact the person(s) listed below for further information. The undersigned is (are) fully authorized to act on behalf of the respondent

We shall be glad to receive further communication on the subject.

Signature

Name

(For <Respondent>)

Form 2

Information Template
(from prospective JV Partners)

Following information are to be provided by the prospective JV Partners:

Sl. No.	Particulars		
1.	Name of the Body Corporate		
2.	Address :		
	- Registered office with telephone number and email address		
	- Factory with telephone number and email address		
	- Administrative/ Corporate office with telephone number and email address		
3.	Name of the Key Executive (Authorized representative by the Board of the company)		
4.	Company Incorporation Number (as per ROC) (Memorandum & Articles of Association to be annexed)		
5.	List of Present Directors as on 01.12.2013 (duly certified by a practicing company secretary)		
6.	Authorized Share Capital as on 01.12.2013		
7.	Paid up Share Capital as on 01.12.2013 (with denomination of each share) Share Premium (if any)		
8.	Shareholding pattern as on 01.12.2013 (duly certified by a practicing company secretary)		
		No. of Shares held	% of total holding
	- from Directors		
	- from friends & relatives of Directors		
	- from Body Corporates		
	- from others		
	Total		
9.	Net Worth of the company as on 31.03.2013 (excluding revaluation reserves, if any.) (duly certified by Statutory Auditors of the company)		
10.	Audited Balance Sheet as at 31.03.13, 31.03.12 and 31.03.11 along with Profit & Loss accounts, schedules, directors and auditor's report and notes on accounts		
11.	Total Installed Capacity of the Plant (product wise)		

	(duly certified by Chartered Engineer registered with Institute of Engineers, Kolkatta)			
	(certificate of being approved vendor by RDSO for manufacturing HDGC contact wire to be enclosed)			
12.	Break up of Turnover:	Rs in crore		
		2012-13	2011-12	2010-11
	- Total Turnover (Gross)			
	- Turnover out of Copper related products			
	- Other items			
13	Business relations with Hindustan Copper Ltd., if any in last 10 years : (Please give quantity-wise lifting Break-up)			
	Financial Year	Qty Lifted (MT)		
		CC Rod	Copper Cathode	Total
	- 2012-13			
	- 2011-12			
	- 2010-11			
	- 2009-10			
	- 2008-09			
14.	Justification with evidence for future scope of expansion			
	- Total area of industrial land			
	- Address of the industrial land			
	- Whether freehold/ leasehold			
	- Proof of ownership (photocopy of the title documents of the land owned)			
	- Area of land already occupied in the existing plant			
	- Area of land available for the future expansion			
	- Existing Site Plan of the industrial land duly verified by the registered valuer			
15.	Other remarks, if any			

Note:

i) The respondents should enclose documentary evidence for all of the above. Bids not having documentary evidence as required will not be considered for evaluation.

ii) The eligible respondents shall form a new JV Company along with Hindustan Copper Limited, for facilitating the manufacturing operations to be carried on by the new JV Company. Necessary existing infrastructure (movable and immovable properties) shall be brought into the fold/ control of the new JV Company by the eligible bidder by way of sale, lease etc. or by reconstruction, restructuring, compromise, arrangements as per the provisions of the Companies Act, 1956/2013 as may be applicable or by any other mode as may be deemed fit.

Form 3

Litigation Impact Statement

(To be forwarded on the letter head of the interested party submitting the Eol)

Ref :

Date

To
Shri D. K. Mahajan
General Manager (Commercial)
Hindustan Copper Limited
1 Ashutosh Chowdhury Avenue
Kolkata - 700 019
INDIA

Sub: Expression of Interest for identification of an Interested Party for entering into a Joint Venture with HCL for value added products.

Sirs,

We refer to the Expression of Interest of HCL for Joint Venture for value added products. We have read and understood the contents of the Eol document and pursuant to this hereby confirm that we satisfy the eligibility criteria laid out in the Eol.

We hereby confirm that save as may be set out in the schedule attached to this statement, there is no litigation (including court, arbitration and other proceedings), inquiry or order from any regulatory authority, current or pending against us, which if adversely determined might have material adverse impact on our ability to carry on our business or pay our debts as they fall due or on our ability to enter into any of the transactions contained in or contemplated in respect of the process of identification of an Interested Party for entering into a joint venture with HCL for manufacturing of value added products of copper.

Further, the authorized signatory is vested with requisite powers to furnish such letter and Request for Qualification and authenticate the same

Yours faithfully,
(_____)
Authorised signatory
for and on behalf of

Appendix - Definitions

In this Eol document, the following terms shall be defined as indicated:

- i. **“HCL”** means Hindustan Copper Limited;
- ii. **“Eol”** means an expression of interest made in response to this ;
- iii. **“Respondent”** means any entity, including a company or firm which returned a Cover Letter to the Contact Person, and plans to submit an Eol in response to this Eol.
- iv. **“CC Rods”** mean continuous cast copper wire rod.